Sri Lanka Institute of Information Technology

B.Sc. Honours Degree in Information Technology

Specialized in Information Technology / Computer Systems & Network Engineering

Final term Examination
Year 3, Semester 2 (2019)

IT3090/IE3060 – Business Management for IT

Duration: 2 Hours

October 2019

Instructions to Candidates:

- This paper has two parts. 30 MCQs in part I and 03 written questions in part II.
- Answer all questions in the answer sheet provided.
- The total marks for the paper is 100.
- This paper contains 11 pages, including the cover page.
- Calculators are allowed.

PART I

Select the most suitable answer **(30 Marks)**

Write the letter of the correct answer in the given space.

1. The actual achievements compared with the objectives of the job is_____.
   (a) Job performance
   (b) Job evaluation
   (c) Job description
   (d) None of the above

2. The following type of recruitment process is said to be a costly affair.
   (a) Internal recruitment
   (b) External recruitment
   (c) Cost remains same for both internal and external recruitment
   (a) Both are costly affairs

3. The following is (are) the option(s) while planning for surplus?
   (a) Freeze Hiring
   (b) Layoff
   (c) Termination
   (d) All of the above

4. _____ refers to the learning opportunities designed to help employees grow.
   (a) Training
   (b) Development
   (c) Education
   (d) All of the above

5. Out of the following, which is NOT a training method?
   (a) On the Job Training
   (b) Job Rotation
   (c) Assignment
   (d) Job Design

6. The presence of grievances among employees may cause_____.
   (a) indiscipline among them
   (b) strain on the labour–management relations
   (c) a decline in the employees' performance and productivity
   (d) all of the above

7. Insurance schemes, retirement benefits and leave travel concession are examples of_____.
   (a) indirect monetary compensation
   (b) direct monetary compensation
   (c) non-monetary compensation
   (d) none of the above

8. Provision for cars, parking lots and membership in country club are examples of_____.
   (a) base salary of executives
   (b) short-term incentive plans
   (c) fringe benefits
   (d) none of the above

9. Accounting is best described as:
   (a) The use of financial data
   (b) The collection of financial data
   (c) The collection and use of financial data
   (d) The collection and use of financial and non-financial data

10. Which of the following statements best describes a limited liability company?
   (a) In law it is regarded as having a separate existence from its owners
   (b) It is normally owned and managed by the same persons
   (c) It is normally owned by just one person
   (d) It is normally a non-profit making organization

11. Which of the following is an example of an asset in a business?
   (a) Bank loan taken
   (b) Production machinery
   (c) Investment by the owner
   (d) Electricity bills for the period

12. Which of the following is an example of a liability in a business?
    (a) Bank loan taken
    (b) Production machinery
    (c) Investment by the owner
    (d) Electricity bills for the period

13. Assets minus liabilities is
    (a) Profit
    (b) Working Capital
    (c) Capital
    (d) Long-term liabilities

14. If assets are Rs. 8000/- and capital is Rs. 6000/-, liabilities will be
    (a) Rs. 7000/-
    (b) Rs. 8000/-
    (c) Rs. 2000/-
    (d) Rs. 14,000/-

15. Assets are always equal to:
    (a) Capital
    (b) Liabilities
    (c) Liabilities + Capital
    (d) Liabilities + Accounts payable

16. Purchase of machinery for cash:
    (a) Increases total assets
    (b) Decreases total assets
    (c) Keeps total assets unchanged
    (d) Increases assets and liabilities

17. Cash brought by the owner to start the business is called:
    (a) Loan
    (b) Drawings
    (c) Liability
    (d) Capital

18. If total assets increase by Rs.20,000/- and total liabilities increase by Rs.12,000/- during a period, the capital will:
    (a) Increase by Rs.32,000/-
    (b) Increase by Rs.8,000/-
    (c) Decrease by Rs.32,000/-
    (d) Decrease by Rs.8,000/-

19. Find out the value of assets if: Liabilities=Rs.5000/- and Capital=Rs.1000/-
    (a) Rs. 4000/-
    (b) Rs. 7000/-
    (c) Rs. 3000/-
    (d) Rs. 6000/-

20. At a fast-food restaurant, what is marketed?
    (a) Goods
    (b) Service
    (c) Goods and Services
    (d) None of the above

21. Which of the following is not an element of the marketing mix?
    (a) Promotion.
    (b) Product.
    (c) Target market.
    (d) Pricing.

22. Marketing is a process which aims at_____.
    (a) Production
    (b) Profit making
    (c) Satisfaction of customer needs.
    (d) Selling products.

23. Some information of a business is given below;

Assets	Rs.50, 000/-
Liabilities	Rs.10, 000/-

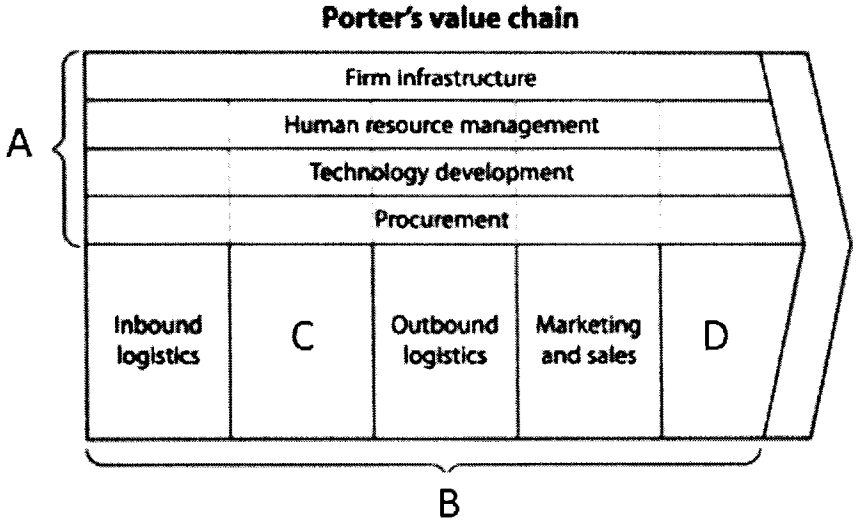
    The capital of the business must be;
    (a) Rs.4,000/-
    (b) Rs.40,000/-
    (c) Rs.400/-
    (d) Rs.40/-

24. The investment of cash into the business results in a/an;
    (a) increase in cash and a decrease in capital.
    (b) increase in cash and an increase in capital.
    (c) decrease in cash and an increase in capital.
    (d) increase in income earned and an increase in capital.

25. The purchase of goods for cash will result in a/an;
    (a) increase in cash and a decrease in capital.
    (b) increase in cash and an increase in supplies.
    (c) increase in goods and a decrease in cash.
    (d) increase in equipment and an increase in capital.

26. Cash received from a debtor will result in;
    (a) cash increases and debtor decreases.
    (b) cash increases and debtors increases.
    (c) cash decreases and capital increases.
    (d) cash decreases and withdrawals increases.

Use the below diagram to answer questions from 27-30.



27. Identify what are reflected in ABCD in above diagram.
    (a) Secondary or supporting activities, Primary activities, Operations, Services
    (b) Primary activities, Secondary or supporting activities, Operations, Services
    (c) Services, Secondary or supporting activities, Primary activities, Operations
    (d) Primary activities, Operations, Services, Secondary or supporting activities

28. All activities that occur after the point of sale, such as installation, training and repair, is included in the primary activity
    (a) Operations
    (b) Inbound logistics
    (c) Services
    (d) Firm infrastructure

29. Which of the following are primary activities in Porter's value chain?
    (a) Operations and outbound logistics
    (b) Marketing and sales
    (c) Human resource management and service
    (d) Both (a) & (b).

30. Which of the followings are the support activities in Porter's value chain?
    (a) Marketing & sales, Infrastructure and inbound logistics.
    (b) Infrastructure, HRM, technology & procurement.
    (c) Infrastructure, marketing & sales and service.
    (d) Procurement, operations, inbound logistics and marketing & sales.

PART II

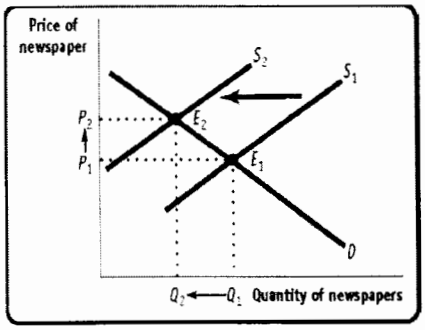
Question 01 **(20 Marks)**

(a) Develop demand supply diagrams and state the effect on equilibrium price and the equilibrium quantity of each of the following events. (2 Marks * 6 = 12 Marks)

Ex:

The market for newspapers in your town

Case 1: The salaries of journalists go up.



Therefore, in the answer sheet given for you, write;

Equilibrium price increases
Equilibrium quantity decreases

i. The market for "ODEL" printed *t-Shirt*

Case 1: "ODEL" *is* selected as the Brand of the Year.

Case 2: The price of cotton increases.

ii. The market for rice

Case 1: People realize eating rice make them fat.

Case 2: People have less time to prepare proper meals.

iii. The market for the IT textbooks

Case 1: Your lecturer makes it compulsory to read the IT textbook.

Case 2: Printing costs for textbooks are lowered.

(b) Assume Qd = 5000-100P and Qs = 3000+300P are demand and supply equations of computers respectively. Calculate equilibrium price and the equilibrium quantity. Marks will be given for the calculations.

(4 Marks)

(c) Identify FOUR factors of production?

(2 Marks)

(d) Name TWO characteristics of a monopoly.

(2 Marks)

Question 02 **(10 Marks)**

Read the following statement and decide to which stage they belong in Tuckman's team development life cycle.

(2 Marks * 5 = 10 Marks)

	Statement
(a)	This stage finds members being more tolerant of each other and accepting of the diverse perspectives and personalities that each member brings to the group.
(a)	Two of the group members are arguing as to whose idea is the best.
(b)	Everyone is involved and reaching team goals.
(c)	Individuals become members of a group, are anxious about their roles and responsibilities, and are hesitant to participate in discussions.
(d)	Team members learn to corporate and support one another while establishing patterns of communication and behavior.

Question 03 **(40 Marks)**

(a) Calculate the following ratios for the data available for 'Sithumina Enterprise' as at 31st December 2016.

(4 Marks * 4 = 16 Marks)

i. Net Profit Rate

ii. Current Ratio

iii. Quick Ratio

iv. Gross Profit Rate

	Rs.
Sales	250,000
Gross profit	100,000
Expenses	70,000
Net Profit	30,000
Fixed Assets	320,000
Stock	40,000
Debtors	25,000
Bank	5,000
Current liabilities	35,000
Capital	355,000

(b) A technical device will be priced at Rs.210/- and 5,000 units of the product will be sold. The retailer keeps a markup of 40% of the cost.

i. Calculate the target cost of the technical device.

(8 Marks)

ii. The current cost of the technical device design which they sell is as follows:

Design and development costs Rs. 35,000/-

Manufacturing costs Rs.140/unit

End of life costs Rs. 30,000/-

Calculate the current cost of the product and advice if it is worth making the product on current basis.

(8 Marks)

iii. The company estimates that if it were to spend an additional Rs. 15,000/- on design, manufacturing costs per unit could be reduced. Calculate the maximum manufacturing cost that can be allowed, so that the total cost meets the target cost.

(8 Marks)

End of the Question Paper